

Verdant Health Advisory LLC

www.verdanthhealthadvisory.com

May 31, 2021

Laura Phillips

Chief Financial Officer

Johnson, Cross and Gibbs

Dear Ms. Phillips:

This letter sets out the terms on which our firm will conduct a review of physician compensation arrangements for Johnson, Cross and Gibbs. It follows our discussion of the past several weeks and replaces the outline I left with you at that meeting. If the terms below match your understanding, please sign where indicated and return a copy to me. We are prepared to begin on June 10, 2021.

I want to be plain at the outset about what this engagement is and is not. You have asked whether the compensation arrangements you have in place are defensible on a fair-market-value basis. We will tell you what our analysis supports. Where the record is thin, we will say that the record is thin rather than fill the gap with an inference, and where a conclusion is qualified we will state the qualification in the same sentence as the conclusion. I mention this because engagement letters often promise comfort. We do not promise comfort. We promise work you can hand to counsel without apologizing for it.

Scope of Work

We will review the physician compensation arrangements you identify to us at kickoff, together with the underlying employment and professional services agreements, the productivity and quality data used to calculate compensation under those agreements, and the documentation supporting how each arrangement was approved. Our review will address whether the compensation payable under each arrangement is consistent with fair market value and commercially reasonable, and whether the arrangement as administered matches the arrangement as written. That last point is frequently where the difficulty sits.

Our work will not constitute a legal opinion, an audit, an examination, or a review conducted in accordance with attestation standards, and it should not be relied upon as any of those. We are not counsel and will not opine on the application of any

statute or regulation to your arrangements. We will not perform procedures to detect fraud. Our conclusions will rest on the documents and data you provide and on the representations of the people we interview; we will not independently verify the completeness of what we are given, though we will tell you when something we expected to see is missing.

Approach

We work in three passes. First, we assemble the arrangement inventory and the documents behind it, and we reconcile the compensation actually paid against the compensation the agreements provide for. Second, we develop the fair-market-value analysis for each arrangement, using published survey data appropriate to the specialty, geography, and productivity profile, and we document which comparables we relied on and which we set aside and why. Third, we walk you and your counsel through findings before anything is final, so that factual corrections happen while corrections are still cheap.

You will receive a written report at the end. Findings will lead it. Recommendations, if we have any, will appear in a separate section and will be labeled as recommendations, so that no one reading the report later can quote a suggestion of ours as though it were a finding of ours.

The Team

Daniel Alvarado, Senior Consultant, will lead the engagement day to day and will own the fair-market-value analysis and the report. Daniel does this work constantly and is the person I send when counsel will be reading closely. Patricia Moore, Analyst, will handle the data reconciliation and the arrangement inventory, and will be your team's contact for document requests. I will serve as engagement partner. I read every deliverable before it leaves this office, and I am available to you directly at any point in the engagement, including on questions you would rather not put in writing to the team.

Fees and Payment

Our fee for the scope described above is \$114,500, inclusive of out-of-pocket costs other than travel, which we will bill at actual cost with your prior approval. We will invoice monthly in arrears based on progress, and invoices are payable within thirty days of receipt. If the scope changes materially, whether because the arrangement inventory turns out larger than described or because you ask us to extend into an area not contemplated here, we will stop, tell you what the change means for fee

and schedule, and proceed only on your written agreement. We do not accumulate out-of-scope time and present it to you afterward.

Term and Termination

The engagement begins on the start date noted above and continues until we deliver the final report or until terminated as provided here. Either of us may terminate on ten days' written notice to the other. If you terminate, you will owe fees for work performed through the termination date, and we will deliver our work product in whatever state it then stands, with a written note of what remained unfinished so that no one mistakes a draft for a conclusion. We may also withdraw if we determine that continuing would place us in a position inconsistent with our professional obligations, and we would tell you why.

Confidentiality

We will hold in confidence all non-public information you provide, will use it only for this engagement, and will restrict access to personnel who need it for the work. Where the information you provide includes protected health information, we will handle it consistent with your policies and applicable law, and we will ask you to limit what you send us to the minimum necessary for the analysis; we would rather receive de-identified productivity data than a file that carries patient identifiers we have no use for. We will not disclose your confidential information to any third party except with your consent or as compelled by law or regulatory authority, and in that event we will notify you promptly unless notification is itself prohibited. Our working papers remain our property. We will retain them for our standard retention period and then destroy them.

Limitation of Liability

Our aggregate liability to you arising out of or relating to this engagement, on any theory, is limited to the fees actually paid to us under this letter. Neither of us will be liable to the other for indirect, incidental, consequential, special, or punitive damages, or for lost profits, whether or not the possibility of such damages was known. This limitation does not apply to liability arising from our fraud or willful misconduct. Any claim must be brought within one year after the date of the final deliverable to which it relates.

Our report is prepared for your internal use and for your counsel. It is not to be quoted, referred to, or distributed to any third party, in whole or in part, without our prior written consent, and we assume no duty to any third party who obtains it. If a

regulator or other authority requests it, tell us and we will cooperate with you on the response.

Governing Law

This letter is governed by the laws of the state in which our principal office is located, without regard to its conflict-of-laws provisions. If any provision of this letter is held unenforceable, the remainder stays in force. This letter, together with any written scope change signed by both of us, is the entire agreement between us on this subject and supersedes any prior discussion or proposal.

Acceptance

If the foregoing is acceptable, please sign below and return one copy to my attention. A signed copy is what starts the clock on our side, and Patricia Moore will send the initial document request the same day we receive it. Should anything here need adjustment before you sign, call me rather than marking up the letter; it is faster, and I would rather hear the objection than read it.

We appreciate the opportunity to work with Johnson, Cross and Gibbs on this review, and we take seriously that you are bringing us a question with real consequences attached to the answer.

Very truly yours,

Laura Brown

Managing Partner

Date: May 31, 2021

Laura Phillips

Chief Financial Officer, Johnson, Cross and Gibbs

Date: May 31, 2021